

PUBLIC SERVICE COMMISSION

Designing a Rational Performance Management System for Public Service

A joint exercise by Public Service Commission, National Salaries and Cadre Commission,
Ministry of Public Administration and Home Affairs, Ministry of Public Management
Reforms, Department of Management Services, Information and Communication
Technology Agency and Postgraduate Institute of Management

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Preamble

Performance appraisals in Sri Lanka to measure individual employee performance in the public service had been introduced by Public Administration Circular No. 07/98 (Secretary to the Ministry of Public Administration, 1998) dated 13.03.1998. The objective of the said circular, as mentioned therein, was to link the granting of annual increments for public officers to a proper appraisal of work performed during a period considered for increment. The Government has adopted this as policy ever since. It continued to be in practice without undergoing any significant change, coming into being as the standard *modus operandi* in evaluating the performance of a public officer. It categorized the performance of such employees into broad categories (of Not Satisfactory/ Satisfactory/ Above Average and Excellent) and never made an attempt to gauge their achievements quantitatively.

Meanwhile, Sri Lanka Administrative Service (SLAS) Minute was amended in 2005 (Secretary, 2005) accommodating special provisions including opportunities for SLAS officers to gain fast-track promotions. They were, thus, awarded opportunity of sitting for a promotion examination on the condition that they maintain "above average performance" for five consecutive years. This was an unprecedented move that made a major breakthrough and the subsequent salary circular 06/2006 (Secretary, 2006) deemed it fit to recognize the same as a policy measure to evaluate the individual skills of an individual and prescribed such provisions be included in all Service Minutes with amendments introduced accordingly. However, the performance Management system did not get amended to suit the new demand posed by the needs of the 2006 salary circular, while the standard appraisal system, although used for payment of increments, had by then been reduced only to a form filling exercise losing its actual weight. Thus, the new policy call and the obsolete appraisal system happen to be a perfect misfit and a blunt force in the context of promising effectiveness of the fast-track promotions.

Seven years into the introduction of the circular, old Performance Management System has not assumed the requisite level of prowess that it ought to have in order to bring forth the super

performers from the ordinary, compelling the authorities concerned to amend Service Minutes making special remarks stating that until such time a proper performance evaluation system is introduced, the performance construed as "satisfactory" or "above satisfactory" will be reckoned as eligibility to sit for the promotion examination which was originally meant for super performers. Given the fact that no one dares making a comment denoting below satisfactory, the ultimate result is that employees in mass are vying for promotions while the deserving candidates of high caliber meet with an unnecessary challenge where there is all sorts of likelihood for them to lose unless they fare well at the examination hall.

Superimposed on this dilemma is the country's need to adhere to the policy of Management for Development Results. The feedback as to whether the initiatives of the government in respective policy areas reach the deserving segments of the people can easily be known once the Performance Management System of public officers is linked to the impact they are supposed to generate ("the public value" they ought to generate). The new system will accommodate this policy drive of Managing for Development Results in the backdrop of formulating the design and methods of appraisal.

Therefore, the dire need to introduce a rational Performance Management System has become mandatory to identify deserving above-average performers as against the ordinary performers or below-average performers providing a level field for multi tasked players. As such, the Public Service Commission, being the present incumbent body overseeing the promotions of public service officers, amidst facing a situation of pending promotions of individuals getting piled up day by day, teamed up with the Ministry of Public Administration and Home Affairs, the Ministry of Public Management Reforms, the National Salaries and Cadre Commission, the ICTA and the Department of Management Services embarked on the challenging mission of developing a rational system that would be used for appraising the performance of public

officers. A representation of Provincial Councils, the Ministry of Local Government, the Department of Excise, the Department of Customs and the private sector was also sought for the formulation process with the involvement of Postgraduate Institute of Management for academic expertise. The whole effort was amply assisted by Asian Development Bank as an extension of the training on Dynamic Governance conducted in 2012.

1. Introduction

The course of action mooted to formulate a new Performance Management System was as follows,

- I. A workshop was conducted with the assistance of PIM to study the subject and synthesize the existing knowledge in the respective area (Number of participants would be limited to 30 out of which 06 officers would be from the PSC Office – the number had to be increased to 10 due to the need of making later work easy).
- II. A second workshop consisting of the same participants worked on a possible mechanism for future application of the said mechanism.
- III. After the Second Workshop the groups (05 groups) worked along to draft an interim learning and application material which will be the base document to be used later.
- IV. Together with National Salaries and Cadre Commission, Ministry of Public Administration and Home Affairs and Department of Management Services the PSC Office will organize a National Conference on the theme of Rational Performance Appraisals for Public Service
- V. An exposure program to Indian System of Performance Management System is designed to study and a cross section of 15 officers from the same group will visit India.
- VI. After the said visit the groups will sit together for a retreat and draft an strategy paper in the form of an interim proposal
- VII. The interim proposal will be presented at the National Conference and the audience would be welcome to make open comments and suggestions for improvement.
- VIII. The final draft will be prepared after one month from the National Conference to fine-tune the proposal with productive suggestions.
- IX. The Public Service Commission will scrutinize the final draft and make comments thereon upon its submission to the Commission.
- X. After the Commission's sanction it will be submitted to the Ministry of Public Administration, Secretary to H.E. the President and Secretary to the Cabinet of Ministers

to be submitted to the Cabinet of Ministers for consideration to adopt as a policy decision.

Once the workshops got underway, the team of 30 officers recognized that the individual performance is not a stand-alone dynamic but one which is cascading and spilling over to Interactive Team level and Institutional level that should be leveraged by mechanisms of integration. Therefore, the team backtracked from the Individual Performance Management to the Management for Development Results (MfDR) framework of going from Impacts to Activities model adopted by the Department of Project Management and Monitoring at the Ministry of Finance (Monitoring, 2012) as mentioned below.

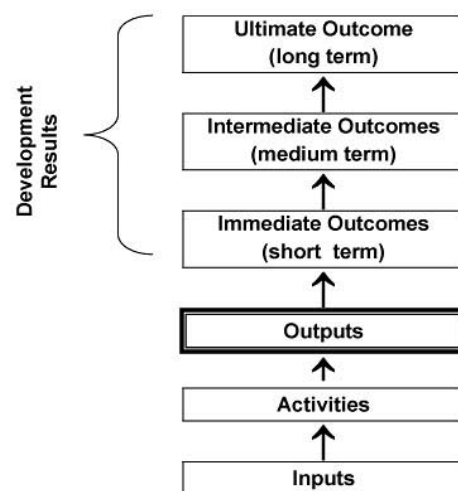


Figure 1: Managing For Development Results Framework

The logical framework adopted for MfDR is a management strategy that focuses on development, performance and sustainable improvements in outcomes countrywide. It provides a framework for development effectiveness in which performance information is used to improve decision making. It also includes practical tools for strategic planning, risk management, progress monitoring, and outcome evaluation (OECD, 2009). In essence, the perspective of impact or result is the cynosure. For a desired result to be generated there should be an outcome whilst the desired outcome requires outputs for which a series of activities that precede should materialize.

Accordingly, a particular desirable result is *sine qua non* in order to a set up desirable outputs which should essentially become the key result areas of individuals coming down from their respective heads of institutions and corporate plans. Ministries and Departments have spelt out their visions and mission and the Departments, in particular, have a mandate established by Acts in Parliament. Accordingly, their respective reasons for being present in the context are well articulated. In simple terms, the outcomes they want to produce and the impacts, they set to generate, are self-evident in their vision and mission statements. As required by the General Treasury, each government institution submits its corporate plans each calendar year. Accordingly, their outputs towards achieving the outcomes are made known and very clear.

The rationale for such line of thinking to link MfDR with Individual Performance is that it is the impacts departments desire to create and they should, invariably, pass down from institutional level to interactive team level and then to individual level, which in turn produce results from individual level to spill over to interactive team level and institutional level respectively. The juxtaposition of this line of thinking and the practical position is captured in the following figure.

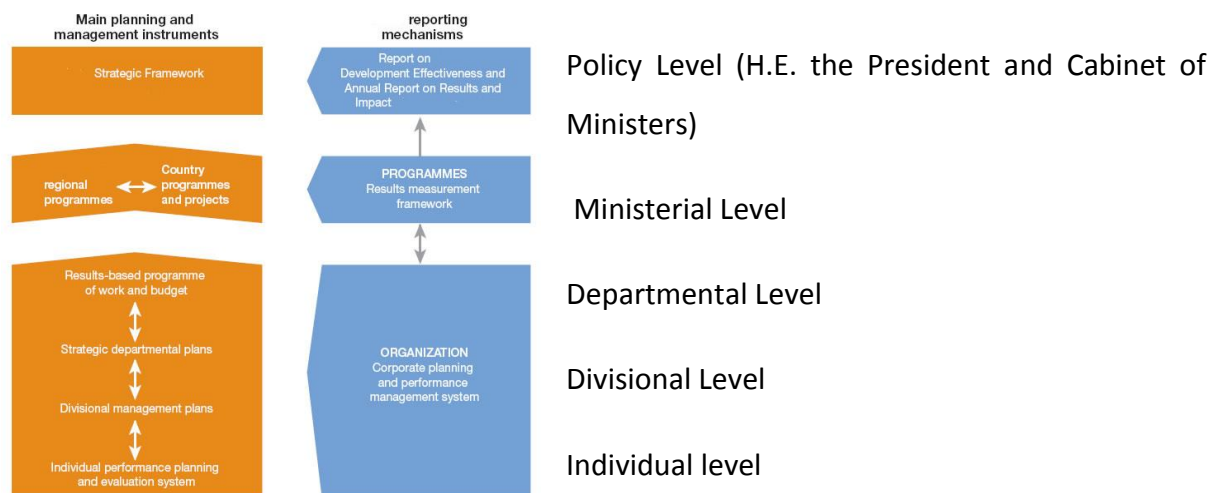


Figure 2: Managing for Development Results illustration

The flow from the individual performance leads to Divisional Management Plans and to Strategic Departmental Plans which can be linked to results based budgets as well. In essence the broader policy objectives will be achieved, if the individual level performance is well construed by the individuals themselves and performed to a set plan within a stipulated time frame.

The new rational Performance Management System will address issues faced by human resource agencies in the public service to identify super performers as well as average performers paving way for their contributions by recognizing the special capabilities in them, and promote them to be far better performers and also to find out below par performers and take remedial action over reasons for such lagging behind performance where necessary.

The new system demands transparency from both the appraiser and appraisee from the point of performance agreement and consistency right throughout the process. Since the wrong entries do not portray the real picture (since the performance of the institution is observable in juxtaposition with the individual performance) both the appraisee and appraiser will have to fill out the forms highly genuinely and objectively. They are accountable to each other and also to the system they are bound to serve. The whole exercise targets to improve both the services rendered to the general public by public officers and also allow meritocracy by recognizing super performers to reach deserving positions. Therefore, this initiative will address the issues pertaining to efficiency, effectiveness, equity and fairness in a wide spectrum.

There may be institutional and attitudinal commitments arising out of this new system which will be well orchestrated in the sustainability criteria. Monitoring is one of the major components detailed in the new system and it requires dichotomizing the orthodox administration divisions into Administration of Logistics and Human Resource Development functions to take care of the Administration Tasks and Performance Management aspects respectively. In order to find a viable way out of the outdated form filling mentality, focus on Human Resource perspective is imperative.

2. Methodology adopted

At the initial meeting, it was agreed that a core group of 30 would work along the path of identifying the pitfalls of the present system and work towards designing a new system mitigating the adverse aspects of the present system. The course of action, outlined in the introduction as well, proceeded to accommodate two workshops, each one taking different angles of views.

The first workshop attempted to identify the inadequacies in the present system and get exposed to the basics of performance appraisals with a view to designing a foolproof new system. It was planned to accommodate both the tasks and core competencies required which, in particular, is missing in the current system. The group of 30 was divided into five groups to work together in five selected avenues towards designing and proposing a new mechanism.

The second workshop was to make presentations of facts unearthed through the desk research done by the five groups and also on the new systems proposed by each group. Upon conclusion of the presentations with the help of the moderators from Postgraduate Institute of Management, all five groups once again became a single unit to reach a consensus over finalizing the prospective proposal which would be fine-tuned through the process.

The National Conference on Performance Appraisals, the next stage of fine-tuning the proposal, will accommodate a larger practitioner audience and their views will be entertained in deciding over the final amendments to be incorporated in the proposed system of Performance Appraisals for public service.

3. Review of the present system

It was agreed in unison that the present Performance Management System , which is linked to payment of annual salary increment, although a major breakthrough in the late 1990's in a context when there was no reference to performance evaluation in public service, does hardly address the issues of the day, namely, measuring performance of employees in a manner that would enable them to rise up in the career ladder much faster than the normal route. The failure of the present system was attributed to various reasons ranging from process related, people related and policy and management related issues at a broader level. The new proposal aims at alleviating the issues as detailed hereunder.

3.1. Process related issues

3.1.1. Issues pertaining to key performance indicators

The implementation of Performance Management System in 1990's had aimed at evaluating performance of employees in a calendar year while the increment dates of employees fall everywhere in a year. Accordingly, the link between the final appraisal and the increment gets lost during the second half of the year in most cases since the only available information is the mid-year evaluation which is provisional.

The planning and determining the contents of the performance appraisals has become a paper-filling exercise due to the relative importance given to the appraisals and the time consumption it demands, provided it is actually practiced in the manner it deserves.

3.1.2. Heterogeneous measurements and the missing link

Given the relative complexity of the public service institutions and the generic form being used, there have been issues of specific concerns endemic to the institutions of different stature island-wide. The lack of such varied attributes had added to the failure of the system being too generic to be applied to heterogeneous contexts.

On the other hand, Performance Management System , up until 2006, remained unlinked to the promotions in public service. The relative importance given to the whole system was at a low ebb due to this fact.

3.1.3. Absence of a rating system

The measurement criteria are limited to a set of words as Not Satisfactory/Satisfactory/Above Average/Excellent. Except for the final conclusion summed up by the words given above, there is no other measurement criterion that gives a rated performance of employees. The absence of quantitative data and a method to measure up performance evaluated under quantitative terms, the system has left room for fabrications and off-beam portrayals of performances. The mitigation of the adverse effect, as mostly adopted by the decision makers, is to stay in the middle-path and rate everyone as “Satisfactory” letting each and every employee obtain the annual increment at the expense of those who had actually performed as being deserving individuals.

3.2. People related issues

3.2.1. Subjectivity and Attitudinal Issues

Absence of rating system has, as pointed out above, rendered the system more out of track, and unrealistic. Besides, it had created in the same vein a vacuum for the subjectivity to creep in. The system does not demand any benchmark performance for heterogeneous jobs while the performers stick to their routine activities. Therefore, two employees who happen to join the public service on the same day might be rated differently, not due to their respective levels of performance but due to their superior's intuition. Given the fact that the desired level of performance is not quantitative, the sneak in of the subjectivity is irrepressible.

3.3. Policy and management related issues

3.3.1. Competency

The competencies of the appraisers also add to the attitudinal issues due to the lack of knowledge in what and how to standardize and measure performance results either in overrating or underrating. The only available basis, then, tends to be the attitudes of the superior officer in rating an employee. It is noteworthy that the prospective appraisers in the executive grades are not equipped with get substantial input over performance appraisals even at the stage of induction trainings of officers.

3.3.2. No cascading down effect (integration)

The pre-requisites for a productive Performance Management System have gone astray due to the fact that the specific guidelines are not in place with circular instructions. The overall

objective of an institution, or the very purpose as to why a particular institution is set up, has not crept through to individual performance plans which become the missing link. Thus, the results an institution must produce have gone missing due to integration issues pertaining to individual level, interactive team level as well as institutional level.

4. Methodology proposed

4.1. Approach

The fundamentals of the proposed system are based on the rationales of the concept Management for Development Results and embedded in the results criteria in the appraisal system. Before the new system becomes the *modus operandi*, there will be a pilot run in selected 10 institutions to obtain feedback over the practicality and sustainability of the new system. Whilst being at the stage of performance appraisals the results may not be measureable outright, once the desirable outputs are targeted right, the outcomes and impacts would follow in due course. The expected measurement criterion will focus on tasks and competencies as two components and their composition is construed to 80% and 20% respectively, of the total appraisal.

4.1.1. Key Performance Areas and Tasks

The planning of performance agreements will go one step backwards from the existing system, which depends on key responsibilities, as key performance areas are based on key result areas. Identification of key performance areas will rely on the key results that an institution is deemed to have achieved in terms of the very purpose of its establishment or, in other words, its

mandate articulated in respective Acts or other Legislative Enactments. Once the key result areas are agreed upon at the strategic level, the key divisional objectives and relevant activities will be made clear and published in the first page of the performance plan as a measure to keep the rest of the document remained aligned to be on check. Key Performance Areas will be derived from the divisional objectives spelt out in each performance plan. Derivation of tasks, which can range from one to many, will then depend on the key performance areas that have already been identified.

4.1.2. Key Performance Indicators

Methodology for identification of Key Performance Indicators is made easy by the predetermined key performance areas and tasks pertaining to the same. The tasks demand a standard of performance for a period of time for its completion. Accordingly, at this stage SMART - (Specific, Measurable, Achievable, Realistic and Time bound) performance indicators should be agreed upon by the appraisee and the appraiser for a period of one year. Performance indicator is the benchmark over which the appraisee will look to cross over and achieve the expected level of measurement of his or her own performance that should be measured up in terms of quantifiable numerals. The mitigated weakness in the previous system was the inherent incapacity to quantify performance of public service officers. The most tricky and meticulously monitored area in the whole process is the agreement of key performance indicators, given the fact that the uniformity in heterogeneity can only be established in this respect. This is also related to achievability which is the sole criterion that rates out the employee concerned among his colleagues or counterparts working in his/her duty station as well as in various other agencies.

4.1.3. Core Competencies

It is not necessary to argue that a particular task needs a particular set of skills, knowledge and attitudes which are summed up in core competencies. Competencies as defined by Gary Hamel and C.K. Prahalad, "Core competencies are the collective learning in the organization, especially how to coordinate diverse production skills and integrate multiple streams of technologies" (Prahalad and Hamel, 1990). Accordingly, the set of skills to be promoted by the institution and also mastered by the employees may differ depending upon the context of each and every institution. In the public sector the demanded set of skills may vary from being generic to specific: on the whole an individual might need to master a set of skills that are generic, but when it is referred to a position like Divisional Secretary soft skills like public relations would be pivotal. Just as same as the need to master the skills, the need to check on the employees building their competencies and how they showcase their required skills in their respective performance can only be measured by putting up on the board what the key behavioral indicators are.

4.1.4. Key Behavioral Indicators

The professionalism demanded by executives as well as juniors can be measured in terms of their display of such professionalism in the actions they do. They can be allowed to develop their respective individualities on the required path not by flogging but by directing through a system of effective performance appraisal. Key behavioral indicators will also be identified in the same manner as the key performance indicators were identified. The format contains a few of the key behavioral indicators and the institutions are free to identify a set of key behavioral indicators that would propel a particular category of skills.

4.2. Process

Whatever the design may be the trickiest element in any Performance Management System is the measuring. The process, however, will start with initial planning which will begin just after the Appropriation Act in the Parliament. The three week period from the beginning of December each year will focus on the next year's performance levels required from the employees.

The performance agreements will be signed in the first week of January each year and mid-year provisional assessment will take place in the last week of June. The feedback will not only be filled up in the format but also will be given in writing to the appraisee by the appraiser concerned in order to keep it recorded for the use of both parties. Year-end assessment will take place in the first two weeks of January and scores will be made known to the appraisee by the appraiser after a week's period from the last encounter of the appraisee with the appraiser once the formal approval is received from the Moderator. There will be one appealing opportunity for the appraisee directly to the central agency monitoring performance appraisal, where the appellant needs to justify in black and white as to why his/her rating should have been up compared to the one he/ she had already been awarded.

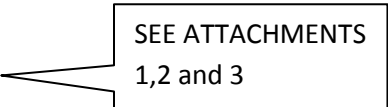
4.2.1. Implementation and Monitoring

Not only does the new system demand a numeric analysis of performance it also demands a near perfect monitoring mechanism. In a context that many public service institutions are scattered around the country, and also due to the fact that they are not closely monitored by central agencies, the new system demands just the opposite. Therefore, the monitoring system of public service has to be enhanced through local government network which is already in place for the past several years. The method of monitoring will consume a certain period of

time and in the meantime the pilot implementation can take place in a selected set of institutions that would be are basically single-locations. The monitoring mechanisms, adopted by way of intranet in the stand-alone institutions, will be rolled out to the decentralized institutions via internet later.

4.3. New Format and usage

4.4. Guidelines



SEE ATTACHMENTS
1,2 and 3

5. Meeting Feasibility and Sustainability criteria

It is imperative for the new system to be accepted by both the government and the employees in equal weight. In order to meet the feasibility of the new system to be adopted throughout the country as a policy, it takes a pilot run in 10 public sector institutions to obtain a feedback which will be documented and discussed.

In order to ascertain sustainability criteria the new system should become part and parcel of the culture through deciding key result areas by cascading objectives for individuals from organizational objectives. Moreover, the objectives should be discussed before being agreed upon. There should be a single organization to lead and coordinate entire Performance Management System of the government (probably a unit at the Public Service Commission or a unit at the General Treasury). In the same vein the said agency should always be open to address grievances of the appraised employees and should be required to establish a trustworthy appealing system.

In a bid to win trust of employees it is imperative that employees are given clear expectations on their performance and be specific in recognizing their good performance and accomplishments. Feedback given should be honest and truthful while giving negative

comments, specific supporting examples and specific suggestions on how to improve should be made available.

Institutionally it is mandatory that this system should become critical means by which identifying training needs of any senior officer or junior officer takes place. It is also important that Performance Management System get linked to a “merit based promotion system” and service extension process.

In order to ascertain the system foolproof following golden rules should be adopted. Appraisers need to keep a log on employee performance (both the Individual Performance Record and the Divisional Performance Record) to circumvent inconsistent appraisal history and also to do away with generalizing from a single characteristic or general impression. Appraisers should not be carried away by easily remembered behavior – often the most recent. It needs objective approach to avoid rating in the mid-way and not to rate consistently high or consistently low evaluations. To promote objectivity and to discourage subjectivity, the partiality demonstrated in evaluating the Performance Management System is made a punishable offence under disciplinary control of public officers. It will serve the purpose of a caveat. Appraisers need to avoid placing too much emphasis on negative performance and they must not wait until the annual appraisal to provide feedback. Also significant is that they should be emotionally strong enough to accurately assess performance. It will be prudent to conduct the Annual Work Assessment through a Committee appointed by Head of Department.

6. Concluding remarks and application methodology

Performance Management System is no appetizing topic to discuss over and also put to implementation. Nonetheless, in public sector it is an imperative component or perspective, to ensure public services are delivered with utmost efficiency, effectiveness, transparency and

consistency on one hand and on the other, to recognize and reward the employees whose fair share of achievement that truly deserve to be commended.

In order for the new system to sustain, the Performance Management System should be made a compulsory training module for induction and mid career training conducted by executive training institutions and basic insights should be imparted earlier on. Subjectivity should be penalized for false marking of ratings making it as a first schedule offence of the Establishments Code, thus reckoning objectivity as a key behavior attribute demanded from a public servant.

Cascading effect from results to outcome, outcome to output, output to input and vice versa should be clearly identifiable in the Performance Management System . Institutions need to rediscover their respective identities through re-reading their own establishments. Each institution needs to establish effective monitoring systems either IT or manual based in order to make certain that objective measurement becomes likeable and feasible.

Moreover, the traditional Administration Branch of each institution needs to be bisected into Logistics Administration and Human Resources sections and the Human Resources section should be entrusted with the role of performance appraisals planning, implementation, monitoring and evaluations. Human resource development should be made fundamentally a separate subject from the routine administration and maintenance functions of the institutions.

At the strategy level, the Department of Management Services should engage in periodic review of the performance plans and fine-tune them while reexamining the human resources requirement of each institution.

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